

Institutional Fund Fact Sheet - Q2 Update

Vanguard Frontier Markets Fund • Q2 2026

QUARTERLY FUND FACT SHEET

Fund Name: Vanguard Frontier Markets Equity Fund

Share Class: Institutional (Ticker: VFMIX)

Reporting Period: Quarter Ended June 30, 2026

Net Asset Value (NAV): \$24.82

Total Assets Under Management: \$1.42 Billion

Expense Ratio: 0.85%

Investment Objective:

The Fund seeks long-term capital appreciation by investing primarily in equity securities of companies domiciled in, or deriving a majority of their revenues from, emerging and frontier market economies.

Quarterly Manager Commentary:

The Fund returned 6.45% in Q2 2026, outperforming the MSCI Frontier Markets Index by 120 basis points. Performance was largely driven by our overweight allocation to Southeast Asian financials and infrastructure developers, which benefited from a stabilization in local currency exchange rates and an influx of foreign direct investment. Conversely, our underweight position in Eastern European energy producers slightly detracted from relative performance amid an unexpected surge in regional crude prices. Looking ahead to Q3, we are reallocating capital toward Latin American consumer staples, anticipating a favorable environment for domestic consumption following recent central bank rate cuts in Brazil and Colombia.

Top 5 Holdings (as of 06/30/2026):

1. Nusantara Commercial Bank (Indonesia) - 4.2%
2. Andean Lithium Corp (Argentina) - 3.8%
3. Saigon Port Logistics (Vietnam) - 3.5%
4. Pan-African Telecom (Nigeria) - 3.1%
5. Bogota Retail Holdings (Colombia) - 2.9%

Sector Weightings:

- Financials: 32.4%
- Materials & Mining: 18.2%
- Consumer Discretionary: 14.5%
- Telecommunications: 11.0%
- Industrials: 10.8%
- Cash & Other: 13.1%

Risk Metrics (3-Year Annualized):

Standard Deviation: 18.4%

Beta (vs. MSCI World): 0.82

Sharpe Ratio: 0.64

Past performance is not indicative of future results. Principal value and investment return will fluctuate.